

Kano State's Consolidated Revenue Law: What Changed for Businesses

Wholesome Legal House Insights | Reviewed and updated July 2026

Like several other Nigerian states in recent years, Kano State moved to gather its previously scattered collection of tax, levy, permit and fee laws into a single consolidated statute, with a strengthened administrative and enforcement structure behind it. Businesses operating in Kano State should understand what this consolidation actually changed, and what it didn't.

What the Law Sets Out to Do

The Kano State & Local Government Revenue Administration (Consolidation & Codification) Law brings together the state's various revenue instruments under one framework, spanning nine parts and eleven schedules. Rather than creating a raft of brand-new taxes, its primary purpose is administrative: consolidating existing revenue laws, establishing a single revenue authority with clearer powers, and giving that authority sharper enforcement tools.

The Institutional Architecture

The law establishes the Kano State Internal Revenue Service, complete with a governing board, defined quorum and tenure rules, and a technical committee to advise the board on matters requiring professional and technical expertise. It sets out the Service's financial powers, and its accounts and audit obligations. Under Section 24 (paragraphs A to P), it sets out a detailed list of the Service's own powers and functions. It also creates a State and Local Government Joint Revenue Committee, alongside a dedicated Local Government Revenue Committee for each local government area — intended to coordinate revenue collection across the state and local tiers rather than leaving each local government to act entirely independently.

Perhaps the most significant institutional innovation is the establishment, under Section 29, of a dedicated Revenue Court: Section 29(1) establishes the Court itself, and Section 29(2) empowers the Chief Judge of the State to designate a Magistrate to preside over it specifically for enforcing the law. This gives the Internal Revenue Service and local governments a direct route to court to enforce collection, distinct from the ordinary court system. The law also establishes an Appeal Commissioners structure to hear taxpayer grievances over assessments, with a further appeal route running from the Appeal Commissioners to the Kano State High Court, then the Court of Appeal, and ultimately the Supreme Court.

On enforcement mechanics, the law covers assessment and reassessment procedures, the correction of errors and defects in assessment notices, powers to call for further returns, obligations on banks to supply information, refund procedures, tax clearance certificate issuance, powers to access land, buildings, books and documents, powers to appoint collection agents, and powers of distraint for non-payment. Two consequential amendment provisions are worth noting: Section 109(1) amends Section 2 of the Personal Income Tax Law of Kano State (Cap P4) to redefine "the Board" as the Kano State Board of Internal Revenue Service established under the consolidating law, and Section 110(1) repeals the earlier Kano State Revenue Administration Law 2017 outright.

What the Schedules Actually Cover

The schedules are where the practical detail sits: the existing approved list of taxes, levies, charges, fees and fines collectable by the Service; Withholding Tax provisions for individuals; Capital Gains Tax provisions for individuals; taxes payable by road users; levies collectable by the State Urban Planning and Development Authority; rates payable to various Ministries, Departments and Agencies; gaming machine fees and taxes;

and the Land Use Charge, broken down into land use rates, ground rent, tenement rate, property tax, and an infrastructural maintenance and development levy.

The Bottom Line for Businesses

This law does not, on its own, create a new tax obligation that did not exist before — it consolidates, codifies, and modernises the enforcement architecture behind Kano State's existing revenue instruments, including a faster, dedicated court route for collection. Businesses already compliant with their existing Kano State and local government tax obligations are not, by virtue of this law alone, newly exposed to additional levies; but the stronger enforcement powers (distrain, bank information requests, a dedicated Revenue Court) mean that non-compliance now carries a more direct and faster enforcement path than it may have before consolidation.

A note on currency of the law

What was originally a bill before the Kano State House of Assembly was signed into law in December 2021 as the Kano State & Local Government Revenue Administration (Consolidation & Codification) Law, 2021. It has since been amended twice — in 2022 and again in 2023.

Businesses should work from the current amended version (2023, unless further amended since) rather than the original 2021 text or the pre-enactment bill, and should confirm with the Kano State Internal Revenue Service or counsel whether any further amendment has followed.

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